

COMMITTEE ON HEALTH AND HUMAN SERVICES
SENATE AMENDMENTS TO S.B. 1494
(Reference to printed bill)

1 Strike everything after the enacting clause and insert:

2 "Section 1. Section 13-3730, Arizona Revised Statutes, is amended
3 to read:

4 13-3730. Unlawful patient brokering; classification;
5 definitions

6 A. It is unlawful for a person, including a health care provider,
7 behavioral health professional, health care institution or sober living
8 home, to offer, pay, solicit or receive any commission, bonus, rebate,
9 kickback or bribe, directly or indirectly, in cash or in kind, or engage
10 in any split-fee arrangement, in any form whatsoever, in return for
11 either:

12 1. Referring patients or clients to or from a sober living home or
13 a substance use disorder treatment facility.

14 2. Accepting or acknowledging the enrollment of a patient or client
15 for substance use disorder services at a sober living home.

16 B. EXCEPT AS OTHERWISE EXPRESSLY ALLOWED BY FEDERAL LAW, IT IS
17 UNLAWFUL FOR A HEALTH CARE PROVIDER, HEALTH CARE INSTITUTION OR DRUG
18 MANUFACTURER TO:

19 1. PAY, DIRECTLY OR INDIRECTLY, THE PREMIUMS OR SUBSCRIPTION FEES
20 FOR AN ENROLLEE UNDER ANY HEALTH BENEFITS PLAN ISSUED BY A HEALTH CARE
21 INSURER IN THIS STATE.

22 2. STEER, ADVISE, RECOMMEND OR ENCOURAGE AN ENROLLEE TO TERMINATE
23 COVERAGE UNDER AN EXISTING HEALTH BENEFITS PLAN OR TO CHANGE A HEALTH
24 BENEFITS PLAN DUE TO ANY HEALTH STATUS-RELATED FACTOR OF THE ENROLLEE
25 UNLESS THE PERSON STEERING, ADVISING, RECOMMENDING OR ENCOURAGING THE
26 ENROLLEE IS A LICENSED INSURANCE PRODUCER IN THIS STATE.

27 ~~B.~~ C. A violation of SUBSECTION A OR B OF this section is:

28 1. A class 3 felony if the consideration has a value of \$1,000 or
29 more.

30 2. A class 4 felony if the consideration has a value of more than
31 \$100 but less than \$1,000.

32 3. A class 6 felony if the consideration has a value of \$100 or
33 less.

34 ~~C.~~ D. For the purposes of this section: ~~;~~

35 1. "ARIZONA HEALTH CARE COST CONTAINMENT SYSTEM HEALTH PLAN" MEANS
36 THE COVERED SERVICES AVAILABLE TO MEMBERS OF THE ARIZONA HEALTH CARE COST
37 CONTAINMENT SYSTEM PURSUANT TO TITLE 36, CHAPTER 29, ARTICLE 1.

38 2. "BEHAVIORAL HEALTH PROFESSIONAL" MEANS ANY PERSON WHO IS
39 REGULATED PURSUANT TO TITLE 32, CHAPTER 33.

1 3. "DRUG MANUFACTURER" MEANS ANY PERSON THAT PRODUCES, PREPARES,
2 COMPOUNDS, PROCESSES, PACKAGES, LABELS, PROPAGATES OR REPACKAGES
3 PRESCRIPTION MEDICATION.

4 4. "ENROLLEE" MEANS AN INDIVIDUAL WHO IS A PATIENT OF OR RECEIVING
5 HEALTH CARE SERVICES FROM, AND IS NOT AN EMPLOYEE OR DEPENDENT OF AN
6 EMPLOYEE OF, A HEALTH CARE PROVIDER, HEALTH CARE INSTITUTION OR DRUG
7 MANUFACTURER AND WHO IS ENROLLED IN A HEALTH BENEFITS PLAN PROVIDED BY A
8 HEALTH CARE INSURER.

9 5. "HEALTH BENEFITS PLAN" MEANS A DISABILITY INSURANCE POLICY, A
10 HOSPITAL AND MEDICAL SERVICE CORPORATION POLICY OR CERTIFICATE, A HEALTH
11 CARE SERVICES ORGANIZATION CONTRACT, A GROUP DISABILITY POLICY OR A
12 CERTIFICATE OF INSURANCE OF A GROUP DISABILITY POLICY, INCLUDING MEDICARE
13 ADVANTAGE PLANS, MEDICARE SUPPLEMENT INSURANCE PLANS AND MEDICARE PART D
14 PRESCRIPTION DRUG PLANS, AND THE ARIZONA HEALTH CARE COST CONTAINMENT
15 SYSTEM HEALTH PLAN.

16 6. "HEALTH CARE INSTITUTION" HAS THE SAME MEANING PRESCRIBED IN
17 SECTION 36-401.

18 7. "HEALTH CARE INSURER" MEANS A DISABILITY INSURER, GROUP
19 DISABILITY INSURER, BLANKET DISABILITY INSURER, HEALTH CARE SERVICES
20 ORGANIZATION, HOSPITAL SERVICE CORPORATION, MEDICAL SERVICE CORPORATION OR
21 HOSPITAL AND MEDICAL SERVICE CORPORATION OR A CONTRACTOR AS DEFINED IN
22 SECTION 36-2901.

23 8. "HEALTH CARE PROVIDER" MEANS A PERSON WHO IS REGULATED PURSUANT
24 TO TITLE 32, CHAPTER 7, 8, 11, 13, 14, 15, 15.1, 16, 17, 18, 19, 19.1, 25,
25 28, 29, 33, 34, 35, 39 OR 41 OR TITLE 36, CHAPTER 6, ARTICLE 7 OR
26 CHAPTER 17.

27 9. "HEALTH-STATUS RELATED FACTOR" INCLUDES ANY OF THE FOLLOWING
28 WITH RESPECT TO AN ENROLLEE:

29 (a) A MEDICAL CONDITION, WHETHER PHYSICAL OR MENTAL.

30 (b) A DISABILITY.

31 (c) A CLAIMS EXPERIENCE.

32 (d) A RECEIPT OF HEALTH CARE SERVICES.

33 (e) MEDICAL HISTORY.

34 (f) GENETIC INFORMATION.

35 10. "Sober living home" has the same meaning prescribed in section
36 36-2061.

37 Sec. 2. Section 20-281, Arizona Revised Statutes, is amended to
38 read:

39 20-281. Definitions

40 In this article, unless the context otherwise requires:

41 1. "Business entity" means any corporation, association,
42 partnership, limited liability company, limited liability partnership or
43 other legal entity except an individual or sole proprietorship.

44 2. "Designated producer" means the individual insurance producer
45 that a business entity designates pursuant to section 20-285, subsection
46 C, paragraph 3 as the individual responsible for the business entity's
47 compliance with the insurance laws of this state.

1 3. "HEALTH BENEFITS PLAN" MEANS A DISABILITY INSURANCE POLICY, A
2 HOSPITAL AND MEDICAL SERVICE CORPORATION POLICY OR CERTIFICATE, A HEALTH
3 CARE SERVICES ORGANIZATION CONTRACT, A GROUP DISABILITY POLICY OR A
4 CERTIFICATE OF INSURANCE OF A GROUP DISABILITY POLICY, INCLUDING MEDICARE
5 ADVANTAGE PLANS, MEDICARE SUPPLEMENT INSURANCE PLANS AND MEDICARE PART D
6 PRESCRIPTION DRUG PLANS.

7 ~~3.~~ 4. "Health or sickness insurance" means disability insurance as
8 defined in section 20-253.

9 ~~4.~~ 5. "Home state" means the District of Columbia and any state or
10 territory of the United States in which:

11 (a) An individual insurance producer maintains a principal place of
12 residence or principal place of business and is licensed to act as a
13 resident insurance producer.

14 (b) A business entity insurance producer maintains its principal
15 place of business and is licensed to act as a resident insurance producer.

16 ~~5.~~ 6. "Insurance producer" means a person required to be licensed
17 under this article to sell, solicit or negotiate insurance.

18 ~~6.~~ 7. "Limited line credit insurance" means any form of insurance
19 that is offered in connection with an extension of credit and that is
20 limited to partially or wholly extinguishing that credit obligation,
21 including credit life, credit disability, credit property, credit
22 unemployment, involuntary unemployment, mortgage life, mortgage guaranty,
23 mortgage disability, guaranteed asset or automobile protection insurance
24 and any other form of insurance that is offered in connection with an
25 extension of credit, that is limited to partially or wholly extinguishing
26 that credit obligation and that the director determines should be
27 designated a form of limited line credit insurance.

28 ~~7.~~ 8. "Limited line insurance" means limited line credit
29 insurance, limited line crop insurance, limited lines travel insurance
30 under section 20-3553 and any other line of insurance that the director
31 deems necessary to recognize for the purposes of complying with section
32 20-287, subsection C, paragraph 2.

33 ~~8.~~ 9. "Major line insurance" means life insurance, accident and
34 health or sickness insurance, property insurance, casualty insurance,
35 personal lines insurance and variable insurance contracts, as described in
36 section 20-286.

37 ~~9.~~ 10. "Member" means, if used in reference to a business entity,
38 a person that holds an ownership interest in the business entity,
39 excluding any interest in publicly traded securities and any interest of
40 less than ten percent of the voting rights.

41 ~~10.~~ 11. "Negotiate" means the act of conferring directly with or
42 offering advice directly to a purchaser or prospective purchaser of a
43 particular contract of insurance concerning any of the substantive
44 benefits, terms or conditions of the contract if the person engaged in
45 that act either sells insurance or obtains insurance from insurers for
46 purchasers.

47 ~~11.~~ 12. "Nonresident" means a person whose home state is not
48 Arizona.

1 ~~12.~~ 13. "Person" means an individual or a business entity.

2 ~~13.~~ 14. "Resident" means a person whose home state is Arizona and
3 who does not hold a resident insurance producer license in another state
4 or territory of the United States or in the District of Columbia.

5 ~~14.~~ 15. "Sell" means to exchange a contract of insurance by any
6 means, for money or its equivalent, on behalf of an insurer.

7 ~~15.~~ 16. "Solicit":

8 (a) Means attempting to sell insurance or asking or urging a person
9 to apply for a particular kind of insurance from a particular company.

10 (b) INCLUDES, IF DONE AS A REGULAR COURSE OF DEALING OR BUSINESS,
11 STEERING, ADVISING, RECOMMENDING OR ENCOURAGING PERSONS IN THIS STATE WITH
12 A KNOWN HEALTH CONDITION TO TERMINATE THEIR EXISTING HEALTH BENEFITS PLAN
13 OR COVERAGE OR TO LET THEIR EXISTING HEALTH BENEFITS PLAN OR COVERAGE
14 LAPSE AND TO PURCHASE A REPLACEMENT OR ALTERNATIVE HEALTH BENEFITS PLAN OR
15 POLICY FROM AN INSURER AUTHORIZED TO TRANSACT INSURANCE IN THIS STATE.

16 Sec. 3. Section 20-449, Arizona Revised Statutes, is amended to
17 read:

18 20-449. Rebates on life or disability insurance; definitions

19 A. Except as otherwise expressly provided by law, no person shall
20 knowingly permit or offer to make or make any contract of life insurance,
21 life annuity or disability insurance, or agreement as to such contract
22 other than as plainly expressed in the contract issued thereon, or pay or
23 allow, or give or offer to pay, allow or give, directly or indirectly, as
24 an inducement to such insurance or annuity, any rebate of premiums payable
25 on the contract, or any special favor or advantage in the dividends or
26 other benefits thereon, or any valuable consideration or inducement
27 whatever not specified in the contract. FOR THE PURPOSES OF THIS SECTION,
28 A PROHIBITED REBATE INCLUDES PAYMENT, DIRECTLY OR INDIRECTLY, BY A HEALTH
29 CARE PROVIDER, HEALTH CARE INSTITUTION OR DRUG MANUFACTURER OF THE
30 PREMIUMS OR SUBSCRIPTION FEES FOR AN ENROLLEE UNDER ANY HEALTH BENEFITS
31 PLAN ISSUED BY A HEALTH CARE INSURER IN THIS STATE.

32 B. This section does not prohibit an insurer from retaining an
33 independent third party to conduct a customer feedback effort intended to
34 help the insurer improve the quality of its products or services and to
35 offer an insured business or individual a reasonable incentive to
36 participate in the feedback effort. An incentive is presumed reasonable
37 if it does not exceed two hundred dollars. An insurer may not offer,
38 reference or promote an incentive or feedback effort under this section in
39 connection with an application for or renewal of insurance coverage. For
40 the purposes of this subsection, "feedback effort" means activities that
41 are designed to elicit customer perceptions on a predetermined set of
42 topics that are related to the insurer's products or services, including
43 in-person, telephonic or online surveys, polls, focus groups, interviews,
44 questionnaires and other recognized opinion-gathering mechanisms.

45 C. FOR THE PURPOSES OF THIS SECTION:

46 1. "DRUG MANUFACTURER" MEANS ANY PERSON THAT PRODUCES, PREPARES,
47 COMPOUNDS, PROCESSES, PACKAGES, LABELS, PROPAGATES OR REPACKAGES
48 PRESCRIPTION MEDICATION.

1 2. "ENROLLEE" MEANS AN INDIVIDUAL WHO IS A PATIENT OF OR RECEIVING
2 HEALTH CARE SERVICES FROM, AND IS NOT AN EMPLOYEE OR DEPENDENT OF AN
3 EMPLOYEE OF, A HEALTH CARE PROVIDER, HEALTH CARE INSTITUTION OR DRUG
4 MANUFACTURER AND WHO IS ENROLLED IN A HEALTH BENEFITS PLAN PROVIDED BY A
5 HEALTH CARE INSURER.
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7 HOSPITAL AND MEDICAL SERVICE CORPORATION POLICY OR CERTIFICATE, A HEALTH
8 CARE SERVICES ORGANIZATION CONTRACT, A GROUP DISABILITY POLICY OR A
9 CERTIFICATE OF INSURANCE OF A GROUP DISABILITY POLICY, INCLUDING MEDICARE
10 ADVANTAGE PLANS, MEDICARE SUPPLEMENT INSURANCE PLANS AND MEDICARE PART D
11 PRESCRIPTION DRUG PLANS.
12 4. "HEALTH CARE INSTITUTION" HAS THE SAME MEANING PRESCRIBED IN
13 SECTION 36-401.
14 5. "HEALTH CARE INSURER" MEANS A DISABILITY INSURER, GROUP
15 DISABILITY INSURER, BLANKET DISABILITY INSURER, HEALTH CARE SERVICES
16 ORGANIZATION, HOSPITAL SERVICE CORPORATION, MEDICAL SERVICE CORPORATION OR
17 HOSPITAL AND MEDICAL SERVICE CORPORATION.
18 6. "HEALTH CARE PROVIDER" MEANS A PERSON WHO IS REGULATED PURSUANT
19 TO TITLE 32, CHAPTER 7, 8, 11, 13, 14, 15, 15.1, 16, 17, 18, 19, 19.1, 25,
20 28, 29, 33, 34, 35, 39 OR 41 OR TITLE 36, CHAPTER 6, ARTICLE 7 OR
21 CHAPTER 17."
22 Amend title to conform

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